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Our ref: IM-71374
Contact officer: Matthew Chan / Morgan Woodland
Contact phone: (02) 9230 3873 / (02) 9230 9194

2 May 2022

Dear Interested Party

Re: Request for submissions: Telstra's proposed acquisition of Fetch TV

The Australian Competition and Consumer Commission (**ACCC**) is seeking your views on the proposed acquisition of **Media Innovations Holdings Pty Ltd** (**Fetch TV**) by **Telstra Corporation Ltd** (**Telstra**) (the **proposed acquisition**).

Telstra provides retail broadband services and retail telephony services (both fixed line and mobile). Telstra also offers content and subscription television services. Fetch TV is an Australian internet protocol television provider established in 2010. It is a set top box based platform that aggregates a mix of free-to-air and linear pay television channels and over-the-top application-based content. Further details are provided at **Attachment A.**

The ACCC's investigation is focused on the impact on competition. In particular, we are seeking your views on:

- how closely Fetch TV competes with Telstra TV and Foxtel;
- the availability of alternative suppliers to Fetch TV;
- how content aggregation services compete with other types of content supply, such as linear pay television, streaming video on demand services, free-to-air and other subscription based and over-the-top application-based content; and
- Telstra's ability and incentive to foreclose or discriminate against rival RSPs' access to and use of Fetch TV's services.

Further issues you may wish to address are set out in **Attachment B**.

This matter is public and you can forward this letter to anybody who may be interested.

The legal test which the ACCC applies in considering the proposed acquisition is in section 50 of the *Competition and Consumer Act 2010*. Section 50 prohibits acquisitions that are likely to have the effect of substantially lessening competition in a market.

Please provide your response by no later than **23 May 2022** via email with the title: *Submission re: Proposed Acquisition of Fetch TV - attention Matthew Chan / Morgan Woodland.* If you require more time to respond, please let us know.

If you would like to arrange a time to discuss the matter with ACCC officers, or have any questions about this letter, please contact Matthew Chan on (02) 9230 3873 or Morgan Woodland on (02) 9230 9194.

Updates regarding the ACCC's investigation will be available on the ACCC's Public Mergers Register at (ACCC mergers register).

Confidentiality of submissions

The ACCC treats sensitive information it receives during a merger review as confidential, and will not publish your submission. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the Competition and Consumer Act 2010. Where the ACCC is required to disclose confidential information, we will notify you in advance where possible so that you have an opportunity to be heard. Therefore please clearly indicate if any information you provide is confidential. Our Informal Merger Review Process Guidelines contain more information on confidentiality.

Yours sincerely

Daniel McCracken-Hewson
General Manager
Merger Investigations

Attachment A

The proposed acquisition

Telstra proposes to acquire 51.4% of the issued share capital in Fetch TV.

Telstra

Telstra provides retail broadband and telephony services (including fixed line and mobile). Telstra also offers customers Telstra TV, a proprietary and branded internet protocol television provider content service. Telstra TV is accessed via a set top box, which can be purchased from Telstra as an add-on cost to an existing Telstra broadband service or can be purchased outright. Telstra TV offers customers access to buy or rent movies, paid content subscriptions (such as Netflix, Foxtel Now and Stan) and free-to-air channels.

Telstra also holds a 35% shareholding in Foxtel and has a distribution arrangement under which it sells Foxtel products to Telstra customers, and existing Telstra customers can purchase Foxtel subscriptions, including Binge and Kayo Sports, at an additional cost to their Telstra services. Foxtel supplies pay TV linear channels via an internet protocol television provider and over-the-top streaming content including through its platforms Binge and Kayo Sports.

Further information on Telstra TV: https://www.telstra.com.au/entertainment/tv-movies/telstra-tv.

Further information on Foxtel: https://www.foxtel.com.au/index.html.

Fetch TV

Fetch TV is an Australian internet protocol television provider and offers a set top box that allows customers to rent and purchase movies, watch free-to-air television channels and access a number of linear channels, including some pay television channels, through subscription packages. Customers can also access existing streaming services such as Netflix or Stan. Fetch TV has three devices in market which run their platform, including an entry level Fetch Mini, Fetch Mini 4K and Fetch Mighty (which includes a Personal Video Recorder.

Fetch TV develops technology, aggregates content and is a wholesale supplier of television entertainment solutions to fixed broadband RSPs such as Optus, iiNet, Westnet, Intermode, Dodo, iPrimus and Aussie Broadband which typically bundle the service into broadband and phone plans.

Fetch TV also directly distributes its set top boxes through select electronics retailers (such as JB Hi-Fi, Harvey Norman and The Good Guys).

Further information on Fetch TV: https://www.fetchtv.com.au/.

Attachment B

1. Please provide a brief description of your business or organisation and explain your interest in the proposed acquisition, including any commercial relationship(s) with **Telstra**, **Telstra TV, Foxtel** and/or **Fetch TV**.

Subscription content and content aggregation

2. Discuss how closely Fetch TV competes with each of Telstra TV and Foxtel in the supply of:

    a. Subscription content,

    b. Content aggregation services,[1] and

    c. Linear pay television channels.[2]

    In your response, please consider factors such as price, promotional activity, quality, functionality, content range and form (such as free-to-air, streaming video on demand and other channels) and any other relevant factors.

3. Identify and describe the available alternatives and closest competitors to each of Fetch TV, Telstra TV and Foxtel and explain how each compare on the factors outlined in question 2.

4. Discuss how closely content aggregation services and linear pay television channels, including through set top boxes, compete with streamed content including streaming video on demand services (such as Netflix, Disney+, AppleTV+).

Retail service providers (RSP)

5. Explain how important it is for RSPs to offer entertainment content with broadband services to compete and/or how valued it is by RSP customers in choosing an RSP.

6. Outline the available alternatives to Fetch TV for RSPs that wish to develop a content or entertainment strategy and how these alternatives compare to Fetch TV.

7. Discuss whether and why you consider Fetch TV to be a "must have" for RSPs, including if there is anything unique about Fetch TV's offering compared to available alternatives.

8. Explain whether Telstra would likely have the ability and incentive to limit or deny access to Fetch TV to rival RSPs and, if so, what impact this may have on RSPs' ability to compete.

9. Discuss whether an RSP would have the ability to bypass supply of any of the content aggregation products and/or services from Telstra post-acquisition by

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[1] Content aggregation services refers to technology, such as a set top box, that provides a central portal for customers to access different content, such as paid content subscriptions (such as Netflix), free-to-air television channels, other demand content (such as movie rental) and pay television channels.
[2] Linear pay television channels refers to paid television channels that are consumed according to a programming schedule (this includes channels like National Geographic).

either self-supplying or sponsoring the entry of another supplier. Please provide examples where possible.

Additional information

10. Outline any other concerns you have about the likely competition effects of the proposed acquisition or comments you consider relevant to the ACCC’s assessment, including your reasons.